

M/s L.M.L. Ltd. v. State of U.P. & Ors.

Allahabad High Court · Division Bench · 18 September 2009 · 2009 SCC OnLine All 1157 : (2009) 6 All LJ 537 : (2009) 77 ALR (SUM 57) 26 : 2010 AIHC 480 · C.M.W.P. No. 24900 of 2009 · **Writ petition allowed; the reduction of contracted load from 8 MVA to 1.25 MVA held to have stood approved on 19.4.2006 and, under Clause 4.41(e) of the U.P. Electricity Supply Code, 2005, effective from the first day of the following month, i.e. 1.5.2006; any remaining formalities to be completed by the respondents within one month; parties to bear their own costs.**

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HEADNOTE

A licensee's decision to reduce a consumer's contracted load, once taken on a complete application, leaves only ministerial steps and cannot be undone by later insistence on requirements not demanded at the time. The petitioner (a loss-making two-wheeler manufacturer, notified a 'Relief Undertaking' under the U.P. Industrial Undertaking (Special Provisions for Prevention of Unemployment) Act, 1966, and later a sick unit) applied on 31.3.2006 to reduce load from 8 MVA to 1.25 MVA after a lock-out halted production; the licensee agreed in a signed meeting on 19.4.2006, subject only to ministerial conditions, and the UPERC (8.5.2006) raised no objection. The Court held: (i) the reduction stood approved on 19.4.2006, effective from the first day of the following month (1.5.2006) under Clause 4.41(e); (ii) the relief-undertaking notification under ss.3-4 of the 1966 Act operates as a statutory stay of recovery, satisfying the 'stay by Court/Forum' condition of Clause 4.49; (iii) the unamended Clause 4.49 (which then accepted a bond or any instrument, including an affidavit of undertaking, not only a bank guarantee) governed the 31.3.2006 application, so the later demand for a bank guarantee (based on the 14.9.2006 amendment) was irrelevant; and (iv) no UPERC approval was needed for a licensee's load-reduction decision. Continuing to bill at 8 MVA after a production halt was unjust. This judgment was affirmed by the Supreme Court in Kanpur Electricity Supply Co. Ltd. v. LML Ltd., (2010) 6 SCC 165 (recorded in the corpus as SCJ-038).

FACTUAL SUMMARY

M/s L.M.L. Ltd., a public limited company manufacturing two-wheelers at Panki, Kanpur, held a sanctioned electricity load of 8 MVA on a 132 KV line from the Kanpur Electricity Supply Company (KESCO). As demand shifted from two-stroke scooters to four-stroke motorcycles the company incurred heavy losses; apprehending unemployment of about 6,000 workers, it was notified a 'Relief Undertaking' under s.3(1) of the U.P. Industrial Undertaking (Special Provisions for Prevention of Unemployment) Act, 1966 by notification dated 24.6.2004, extended up to 23.6.2007. A strike from 27.2.2006 and a lock-out declared on 7.3.2006 stopped all manufacturing. On 31.3.2006 the company applied to KESCO to reduce its load from 8 MVA to 1.25 MVA with effect from 1.4.2006. At a meeting on 19.4.2006 the Managing Director of KESCO and the Executive Director of the company signed a decision to reduce the load subject to five conditions (deposit of fees, future system-loading charges, timely monthly bills, abiding by court decisions on pending disputes, and acceptance of the UPERC's view). KESCO referred the matter to the U.P. Electricity Regulatory Commission, which by its order of 8.5.2006 raised no objection to the reduction, observing only that any agreement must accord with the Supply Code, 2005. KESCO nonetheless continued to bill at 8 MVA, and by letters of 4.10.2006 and 20.3.2007 declined to give effect to the reduction for want of a bank guarantee said to be required under the Code as amended on 14.9.2006. Its outstanding dues (about Rs. 842 lakh) were disputed and the subject of separate settlement and BIFR proceedings after the company was registered as a sick unit (15.9.2006) and declared sick (8.5.2007). The company filed this writ petition to have its load treated as reduced from 1.4.2006.

REUSABLE CONSTRUCTIONS

1. Once the licensee's competent authority decides to reduce contracted load on a complete application - pointing out no shortcoming in the application or non-compliance with Clauses 4.41/4.49 - the reduction stands approved and only ministerial steps remain; the licensee cannot afterwards defeat it by insisting on requirements not raised at the time, and continued billing at the pre-reduction load is unjust. **p. 15, 18-20**
2. The effective date of a sanctioned load reduction is the first day of the month following the licensee's decision (Clause 4.41(e)); and no approval of the U.P. Electricity Regulatory Commission is required for a licensee's load-reduction decision, a reference to the Commission being a redundant exercise that cannot affect accrued rights. **p. 18, 20**

3. A load-reduction application is governed by the Supply Code as it stood on the date of the application; where Clause 4.49 then accepted a bank guarantee, bond or any instrument, a later amendment (14.9.2006) requiring only a bank guarantee does not apply, and the word 'instrument' is wide enough to include an affidavit of undertaking. p. 14
4. A 'Relief Undertaking' notification under ss.3-4 of the U.P. Industrial Undertaking (Special Provisions for Prevention of Unemployment) Act, 1966 operates as a statutory stay of recovery of pre-notification dues, satisfying Clause 4.49's condition of a stay 'by any Court/Forum/Tribunal/Commission' even without a court order, and binds all instrumentalities of the State including the licensee. p. 12-13, 19

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.49

RATIO

A licensee's load-reduction decision stands approved; only ministerial steps remain; no UPERC approval needed; effective from the first day of the following month

QUESTION

Where the licensee decided to reduce load on a complete application without pointing out any shortcoming, does the reduction stand approved so that only ministerial steps remain, does it require UPERC approval, and from when is it effective?

HOLDING

The competent authority decided to reduce the load at the signed meeting of 19.4.2006 (Annexure-4) and pointed out no shortcoming in the application or non-compliance with Clauses 4.41 and 4.49; the reduction therefore stood approved and any further action was only ministerial. No approval of the U.P. Electricity Regulatory Commission was required for a licensee's decision to reduce load, so the reference to the Commission was a redundant exercise that could not affect the rights that accrued to the petitioner on 19.4.2006. Under Clause 4.41(b) the decision was to be communicated within thirty days, and under Clause 4.41(e) the effective date of the reduction is the first day of the month following the licensee's decision, i.e. 1.5.2006. Continuing to bill at 8 MVA after production had stopped was unjust and not in accord with the 19.4.2006 decision. p. 15, 18-20

EVIDENCE *"the reduction of the load of the petitioner stood approved on 19.4.2006 and any further action which was to be taken by the respondents thereafter was only ministerial"* p. 20

EVIDENCE *"the reference to U.P. Electricity Regulatory Commission was also not necessary since provisions of the Code do not require any approval by the Commission of the decision taken by the licensee for reduction of load"* p. 18

FLAG Source judgment is not paragraph-numbered; pins reference the printed page numbers of the source (the judgment runs on internal pages 2-20, preceded by three order-sheet pages). Clause 4.41 is reproduced at pp.7-8 and Clause 4.49 (unamended) at p.8.

HOLDING-UNIT · UP-2005::4.49

RATIO

The Code as at the application date governs; bond or 'any instrument' (including an affidavit) sufficed, not only a bank guarantee

QUESTION

Is the load-reduction application governed by Clause 4.49 as it stood when the application was made (accepting a bank guarantee, bond or any instrument) or by the amended clause requiring only a bank guarantee?

HOLDING

The application dated 31.3.2006 is governed by Clause 4.49 as it then stood, which permitted submission of a bank guarantee, or a bond, or any instrument to the satisfaction of the licensee for an amount equivalent to the pending dues; since under Clause 4.41(b) the decision was due within thirty days, the unamended clause applied. The requirement of only a bank guarantee was introduced by the amendment of 14.9.2006 and did not govern this application. The word 'instrument', undefined in the Electricity Act, 2003 and the Supply Code, is wide enough to include the affidavit of undertaking filed by the company's whole-time director. The respondents' later demands for a bank guarantee (letters of 4.10.2006 and 20.3.2007, resting on the amended Code) were therefore of no consequence. p. 9, 14, 18

EVIDENCE *"The application having been submitted on 31.3.2006 and according to clause 4.41 (b) the decision on the application was to be communicated within 30 days. Thus, the relevant provisions applicable is unamended clause 4.49."* p. 14

EVIDENCE “the above letters are of no consequence since the decision of load reduction was already taken on 19.4.2006 according to unamended Supply Code, 2005” p. 18

INTERPLAY · URUA1966::4

RATIO

A relief-undertaking notification operates as a statutory stay of recovery satisfying Clause 4.49, and binds all instrumentalities of the State

QUESTION

Does a 'Relief Undertaking' notification under ss.3-4 of the 1966 Act satisfy Clause 4.49's condition of a stay of recovery by any Court/Forum/Tribunal/Commission where there is no such stay order?

HOLDING

Yes. Under s.4 of the 1966 Act the rights, privileges, obligations and liabilities of a notified relief undertaking accruing before the relevant date stand suspended while the notification is in force, and all proceedings for their enforcement are stayed. As the petitioner was a notified relief undertaking when it applied on 31.3.2006, the recovery of its arrears is to be treated as stayed, and the respondents' contention that Clause 4.49 was inapplicable for want of a stay by any court or forum could not be accepted (following *Modern Syntax (I) Ltd. v. DRT, Jaipur*). The declaration binds all instrumentalities of the State, including the licensee, which cannot act so as to defeat the very object for which the company was declared a relief undertaking. p. 10-13, 19

EVIDENCE “the recovery of arrears are to be treated to have been stayed and thus, the submission of the counsel for the respondents that there being no stay from any forum, clause 4.49 cannot be applicable, cannot be accepted.” p. 13

EVIDENCE “the said decision or declaration is binding on all instrumentalities of the State including the respondents.” p. 19

PRINCIPLE TAGS

load-reduction-stands-approved-on-licensee-decision-only-ministerial-steps-left Once the licensee's competent authority decides to reduce load on a complete application without pointing out any shortcoming, the reduction stands approved and only ministerial steps remain; the licensee cannot resile by later insisting on requirements not raised at the time. p. 18-20

law-as-of-application-date-governs A load-reduction application is governed by the Code as it stood when the application was made (here the unamended Clause 4.49 accepting a bond or any instrument), not by a later amendment introducing a bank-guarantee-only requirement; 'instrument' is wide enough to include an affidavit. p. 14

relief-undertaking-notification-stays-recovery A notification under ss.3-4 of the 1966 Act suspends pre-notification liabilities and stays their enforcement, satisfying the stay condition of Clause 4.49 without any court order. Lead authorities: *Modern Syntax (I) Ltd. v. Debts Recovery Tribunal, Jaipur*. p. 12-13

no-uperc-approval-needed-for-licensee-load-reduction The Code does not require the U.P. Electricity Regulatory Commission's approval of a licensee's decision to reduce load; the reference to the Commission was a redundant exercise that could not defeat rights accrued on the licensee's own decision. p. 18

sick-relief-undertaking-cannot-be-billed-at-pre-reduction-load A loss-making unit notified a 'Relief Undertaking' cannot be saddled with billing at the pre-reduction 8 MVA load after production has stopped; the declaration binds the licensee and continued 8 MVA billing was unjust and unfair. p. 19

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE QUANTUM OF THE DISPUTED ARREARS AND THE CONSEQUENCES OF THE SUBSEQUENT 1985-ACT/BIFR PROCEEDINGS

The arrears dispute and the BIFR proceedings (registration 15.9.2006; sick declaration 8.5.2007) post-dated the 31.3.2006 application and abided the separate settlement/BIFR process; the Court held it unnecessary to consider them. p. 4, 13

RELATED CASES — SEE ALSO

SCJ-038 — *Kanpur Electricity Supply Co. v. LML* (Supreme Court, 2010) - the affirmance of this very judgment; Clause 4.49 r/w 4.41 load reduction.

SCJ-255 — *Suvidha Engineers* (2009) - Clause 4.49 bank guarantee for stayed dues as a condition of releasing enhanced load; held intra vires.

SCJ-252 — *Tehri Girders* (2009) - Clause 4.49 r/w s.47; additional security on enhancement is not 'dues'.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Kanpur Electricity Supply Co. Ltd. v. LML Ltd.</i> (2010) 6 SCC 165 [SCJ-038] Supreme Court	Affirmed this judgment: under Clause 4.41 read with the unamended Clause 4.49 the load reduction stood approved on the licensee's decision of 19.4.2006, and the consumer was entitled to have its load treated as reduced.	Subsequent history - this High Court judgment was affirmed on appeal by the Supreme Court (recorded in the corpus as SCJ-038). p. (subsequent history)		Affirmed
<i>Modern Syntax (I) Ltd. v. Debts Recovery Tribunal, Jaipur</i> AIR 2001 Rajasthan 170 Rajasthan High Court (Division Bench)	The effect of a relief-undertaking notification is that any right, privilege, obligation or liability accrued before the undertaking was declared a relief undertaking, and any remedy for its enforcement, stands suspended, and all proceedings related thereto pending before any court/tribunal/officer/authority are stayed during the currency of the notification.	Relied on to hold that the relief-undertaking notification operated as a stay of recovery satisfying Clause 4.49. p. 12-13	Petitioner	Relied on
<i>K. Sambasivaraju v. M.V.S.R. Chandrayya Chetty</i> AIR 1967 Andhra Pradesh 87 Andhra Pradesh High Court (Division Bench)	The word 'instrument' (as defined in s.2(14) of the Stamp Act, 1899) must receive an extensive meaning including an affidavit.	Relied on to hold that the affidavit of undertaking qualified as an 'instrument' acceptable under the unamended Clause 4.49. p. 14	Petitioner	Relied on

SCJ-246 · M/s L.M.L. Ltd. v. State of U.P. & Ors. · 2009 SCC OnLine All 1157 : (2009) 6 All LJ 537 : (2009) 77 ALR (SUM 57) 26 : 2010 AIHC 480 · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.